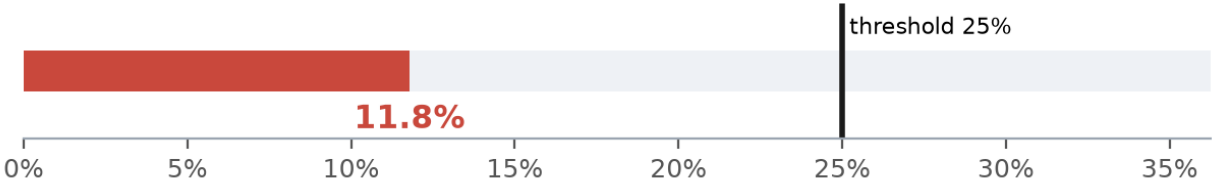


# Townhouse Development

Feasibility assessment · 13 September 2026

**BELOW THRESHOLD**

|                   |             |
|-------------------|-------------|
| Net profit        | \$962,694   |
| Profit on cost    | 11.8%       |
| Threshold applied | 25%         |
| Total cost        | \$8,171,106 |
| Gross realisation | \$9,368,000 |
| Net realisation   | \$9,133,800 |



The scheme returns 11.8% on cost against a 25% threshold — 13.2 percentage points below the bar. Net profit is \$962,694 on a total cost of \$8,171,106.

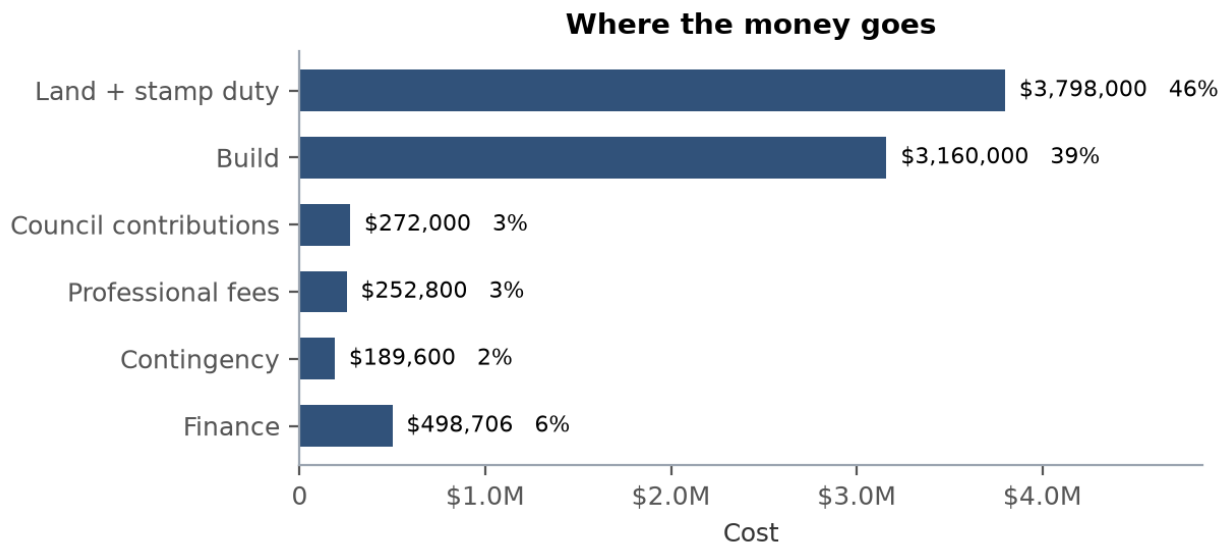
## 1. The deal as entered

|                                     |             |
|-------------------------------------|-------------|
| Average raw land value (per lot)    | \$450,000   |
| Average retail value (per dwelling) | \$1,171,000 |
| Number of dwellings                 | 8           |
| Build cost per dwelling             | \$395,000   |
| Council contributions per dwelling  | \$34,000    |
| Stamp duty                          | 5.5%        |
| Professional fees                   | 8.0%        |
| Contingency                         | 6.0%        |
| Selling costs                       | 2.5%        |
| Finance costs                       | 6.5%        |

### 1.1 Comparables used

| #   | Raw land  | Retail      |
|-----|-----------|-------------|
| 1   | \$442,000 | \$1,160,000 |
| 2   | \$455,000 | \$1,178,000 |
| 3   | \$448,000 | \$1,165,000 |
| 4   | \$455,000 | \$1,181,000 |
| avg | \$450,000 | \$1,171,000 |

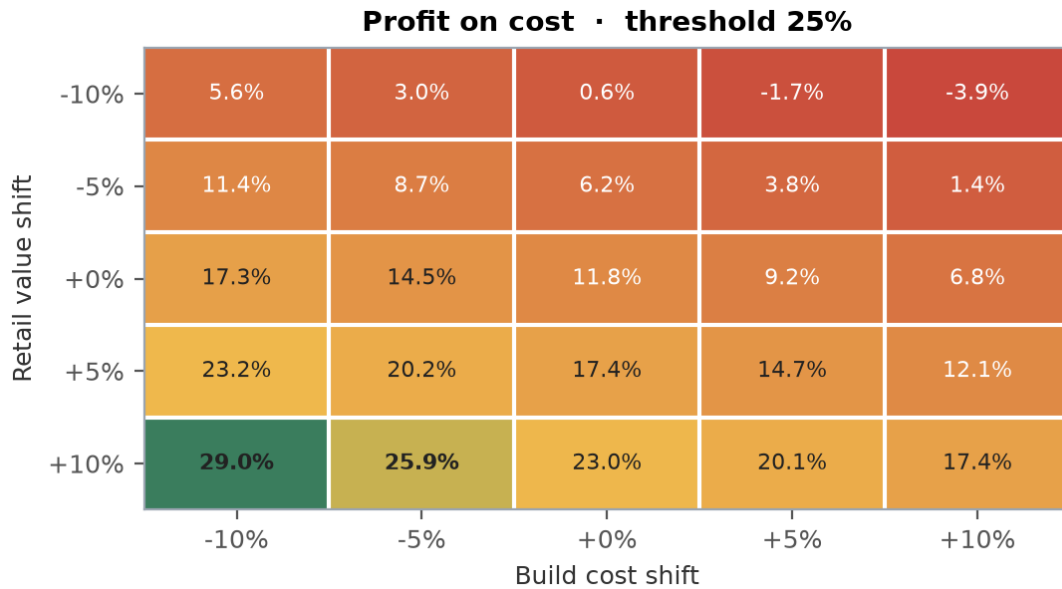
## 2. Where the money goes



Land and stamp duty account for 46% of total cost, build for 39%. Together they are the only two lines large enough to change the verdict on their own.

### 3. What breaks it

Profit on cost if retail values and build costs move against the assumptions above. Bold figures clear the threshold.



A 5% fall in retail values takes the return to 6.2%. A 5% rise in build cost takes it to 9.2%. The revenue side moves the answer roughly twice as hard as the cost side, which is why comparable selection deserves more scrutiny than the build estimate.

### 4. Method and limits

Gross realisation is average retail value times dwelling count. Net realisation deducts selling costs. Total cost is land plus stamp duty plus build, council contributions, professional fees, contingency and finance. Profit on cost is net profit divided by total cost, and the verdict tests it against the threshold entered on the sheet.

*This is a screening tool, not a full feasibility study. It does not model GST or the margin scheme, a project timeline, staged finance drawdown, demolition or site servicing, or strata establishment. Figures are only as good as the comparables entered.*